

New Year of Little Cheer

Year 2011 began on a sombre note for the stock market bulls. The high-profile arrests in the 2G spectrum scam soured sentiment, sending stock prices crashing. Mid-cap and small-cap shares bore the brunt of the selling fury, and in most cases, promoters were paying for their past sins.

I was approached by a few promoters to help support their stock prices, but I declined, knowing that it was going to be a futile effort. Stocks in which promoters had pledged sizeable portions of their holdings were hit the hardest. I got to hear from industry sources that JC was in his element, busy hammering such stocks. The promoters of three companies – an infrastructure firm belonging to a conglomerate, a realty firm, and a brokerage firm – wrote to the regulator saying their shares were being hammered by a bear cartel, leading to unwarranted destruction of shareholder wealth. One firm personally named JC as the mastermind behind the bear attack.

One evening as I was driving back home, I rang up JC to check what he had to say about the charges against him. I knew he would be savouring the publicity his actions had got him.

‘Promoters are screaming murder and say JC the all-powerful is running their stocks to the ground,’ I said as soon as he answered the call with a gruff ‘hello’.

JC chuckled, and I could visualize the pleased look on his face.

‘Arre no, Lala, market people and the media are just exaggerating. It is true that I am short on these stocks, but my positions are not as huge as